

return information on the ETFs is presented in Exhibit 20:

Exhibit 1: Returns on ETFs

ETF	Time Since Inception	Return Since Inception (%)
1	125 days	4.25
2	8 weeks	1.95
3	16 months	17.18

Which ETF has the highest annualized rate of return?

- A. ETF 1
 - B. ETF 2
 - C. ETF 3
9. The price of a stock at $t = 0$ is USD208.25 and at $t = 1$ is USD186.75. The continuously compounded rate of return, $r_{1,T}$ for the stock from $t = 0$ to $t = 1$ is *closest* to:
- A. -10.90 percent.
 - B. -10.32 percent.
 - C. 11.51 percent.
10. A USD25 million equity portfolio is financed 20 percent with debt at a cost of 6 percent annual cost. If that equity portfolio generates a 10 percent annual total investment return, then the leveraged return is:
- A. 11.0 percent.
 - B. 11.2 percent.
 - C. 13.2 percent
11. An investment manager's gross return is:
- A. an after-tax nominal, risk-adjusted return.
 - B. the return earned by the manager prior to deduction of trading expenses.
 - C. an often used measure of an investment manager's skill because it does not include expenses related to management or administration.
12. The strategy of using leverage to enhance investment returns:
- A. amplifies gains but not losses.
 - B. doubles the net return if half of the invested capital is borrowed.
 - C. increases total investment return only if the return earned exceeds the borrowing cost.
13. At the beginning of the year, an investor holds EUR10,000 in a hedge fund. The investor borrowed 25 percent of the purchase price, EUR2,500, at an annual interest rate of 6 percent and expects to pay a 30 percent tax on the return she